LoanBazaar®

Secure Distribution Venture Pvt. Ltd.

What is Asset-Backed Lending ?

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Module 1: Theoretical Foundations and Product Philosophy of Asset-Backed Lending

1.1 The Concept of Asset-Backed Lending

In corporate finance, **Asset-Backed Lending (ABL)** represents a highly specialized, structured working capital or term-based credit facility where a loan or revolving line of credit is extended to a business based primarily on the value of its balance sheet assets rather than its standalone cash flows or historical profitability. While traditional commercial loans focus on historical earnings, Debt Service Coverage Ratios (DSCR), and general enterprise cash flow, ABL shifts the underwriting focus to the **liquidation value of specific, high-quality collateral assets**.

The primary assets used in an ABL structure are highly liquid current assets—specifically, **accounts receivable (debtors) and inventory (raw materials, work-in-progress, and finished goods)**—and, in some cases, fixed assets such as plant and machinery or industrial real estate. ABL allows companies with rapid sales growth, thin operational margins, or temporary cash flow mismatches to unlock immediate liquidity from their balance sheets to fund ongoing operational cycles.

1.2 The Sovereign/Semi-Sovereign and Anchor-Led Substitution Paradox

A core philosophical pillar of structured trade credit and Asset-Backed Lending is the **Credit Substitution Principle**. When an small-to-medium enterprise (SME) or unrated manufacturer approaches a bank, its standalone credit profile is often deemed high-risk due to limited capital or volatile operational cash flows. However, under a structured ABL program, if the borrower's accounts receivable are owed by creditworthy, high-grade corporate buyers (AAA-rated anchors), public sector undertakings (PSUs), or government departments (Sovereign or Semi-Sovereign entities), the credit risk of the borrower is effectively substituted with the credit risk of the buyer.

By establishing a joint escrow mechanism, a Trust and Retention Account (TRA), or an absolute assignment of these actionable claims, the lender is insulated from the borrower's standalone insolvency. This "Credit Substitution Paradox" allows the borrower to secure lower borrowing rates, higher leverage, and flexible covenants based on their customers' credit profiles rather than their own balance sheet limitations.

1.3 History and Evolution of Collateralization in India

The practice of collateralized lending has a long history in India, evolving from physical hypothecation to digital, automated, and cash-flow-integrated systems: 1. **The Physical Pledge Era:** Historically, Indian banks relied heavily on physical pledges, where the bank held constructive possession of physical goods (such as commodities or steel coils) in lock-and-key godowns managed by independent clearing agents. 2. **The Hypothecation Model:** To support industrial growth, banks shifted to hypothecation, where the borrower retained physical possession of the inventory for manufacturing, but marked a formal equitable charge in favor of the lender. This required manual stock audits and monthly stock statement submissions. 3. **The**

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Electronic and Digital Era: Today, ABL has been revolutionized by digital public infrastructure. The introduction of the Goods and Services Tax (GST) in 2017, the automated **e-Invoicing rules**, and the **Trade Receivables Discounting System (TReDS)** have allowed lenders to execute real-time, invoice-level verification, transforming static asset-backed lending into dynamic, transaction-led liquidity flows.

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Module 2: Structural Comparative Taxonomy (The Secured Credit Matrix)

To understand where Asset-Backed Lending sits in the commercial debt spectrum, a rookie in finance must be able to contrast it against other major credit facilities:

Credit Dimension	Asset-Backed Lending (ABL)	Unsecured Business Loans	Cash Credit (CC) Facilities	Equipment / Project Finance
Underwriting Basis	Liquidation value and quality of accounts receivable and inventory.	Historical profitability, promoter net worth, and business cash flows.	General financial health, net working capital, and static collateral.	Sizing of specific project capital expenditure (capex) and projected yields.
LTV / Haircut Ceiling	Strictly defined: **50% to 85%** on accounts receivable, **40% to 65%** on eligible inventory.	None; unsecured borrowing based entirely on cash flows.	Generally fixed: 25% margin on inventory, 30% margin on debtors < 90 days.	Capped at **70% to 75%** of the equipment or total project cost.
Repayment Structure	Dynamic revolving sweeps or structured bullet repayments tied to collections.	Fixed monthly EMIs amortizing principal and interest.	Revolving limit reviewed annually; monthly interest serviced from inflows.	Amortizing quarterly or monthly principal and interest over 5-15 years.
Collateral & Security	First hypothecation charge over current assets, often backed by escrow/TRA accounts.	Completely unsecured; backed only by personal promoter guarantees.	First charge on current assets, often backed by a second charge on real estate.	First exclusive mortgage on the funded land, building, and machinery.
Indicative Tenure	Revolving in perpetuity (subject to annual renewal) or **3 to 18 months** for short-term term facilities.	Short-term: **12 months to 36 months** maximum.	Revolving in perpetuity; subject to annual credit review and renewal.	Long-term: **5 years to 15 years** with structured moratoriums.
CERSAI & ROC Filings	Mandatory registration of charge with CERSAI and ROC within 30 days.	None required as there is no underlying collateral asset.	Mandatory registration of hypothecation charge with CERSAI and ROC within 30 days.	Mandatory registration of mortgage/hypothecation charge with CERSAI and ROC within 30 days.

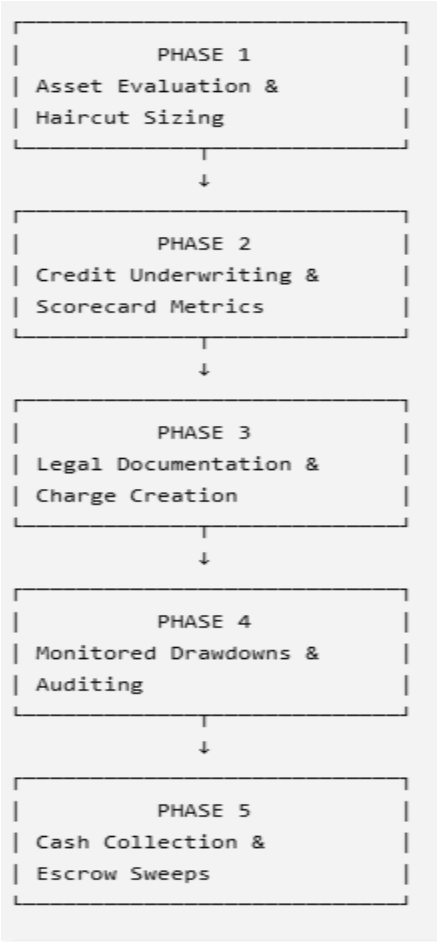
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Credit Dimension	Asset-Backed Lending (ABL)	Unsecured Business Loans	Cash Credit (CC) Facilities	Equipment / Project Finance
Balance Sheet Treatment	Disclosed as a secured current liability under short-term borrowings.	Disclosed under unsecured borrowings (short or long-term).	Current liability; revolving working capital borrowings.	Non-current liability; long-term project or equipment borrowings.

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Module 3: The End-to-End Operational Lifecycle of ABL

The execution and risk management of an Asset-Backed Lending facility follows a highly structured, risk-mitigated operational pipeline.



3.1 Phase 1: Asset Evaluation and Haircut Sizing

The operational lifecycle begins with a comprehensive audit of the borrower's current assets. The lender does not evaluate the general business health but instead carries out a deep-dive **receivables aging audit** and **inventory physical audit**. * **Accounts Receivable Scrutiny:** Receivables are categorized by aging. Any invoices outstanding for more than **90 days** are strictly excluded from the funding pool. Concentration risk is evaluated—if a single buyer represents more than 30% of the total receivables, a "concentration cap" is applied to prevent credit risk clustering. * **Inventory Evaluation:** Inventory is audited for obsolescence, storage quality, and marketability. Raw materials (such as steel sheets or cotton bales) are valued highly, whereas work-in-progress (WIP) is typically assigned zero funding value due to low liquidation potential. The lender then determines the **net eligible asset pool** and applies appropriate **haircuts** (typically a 15% to 30% margin on receivables, and a 40% to 60% margin on inventory) to establish the initial borrowing base.

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3.2 Phase 2: Credit Underwriting and Scorecard Metrics

The underwriting phase focuses on translating the collateral value into a secure credit facility. The underwriter evaluates: 1. The operational creditworthiness of the corporate buyers (the Anchors) using GSTR-1 and GSTR-3B matching. 2. The promoter's credit discipline, requiring a promoter **CIBIL score > 700** and a CIBIL MSME Rank of **CMR 1 to CMR 4** to mitigate moral hazard risks. 3. Financial health metrics of the parent company, verifying the interest coverage ratio (**ICR > 1.25x**), bank statement velocity, and cash conversion efficiency.

3.3 Phase 3: Legal Documentation and Charge Creation

In this phase, the legal security framework is finalized. The borrower executes a **Master Facility Agreement**, a **Deed of Hypothecation**, and a **Tripartite Escrow Agreement**. The Deed of Hypothecation creates a first exclusive charge on all present and future current assets of the borrower. To secure priority of charge against other creditors under the **SARFAESI Act, 2002**, the lender must register the security interest on the **CERSAI portal and file Form CHG-1 with the Registrar of Companies (ROC) within the strict statutory 30-day window**.

3.4 Phase 4: Monitored Drawdowns and Auditing

To eliminate **capital diversion risk**—which is the single largest cause of loan defaults in trade finance—disbursals are strictly tied to the **Drawing Power (DP)**. The borrowing base is recalculated on a monthly or weekly basis. The borrower must submit a certified **Stock and Debtors Statement** within 7 to 15 days of the close of each month. Lenders run automated scripts matching the invoices against the GST portal to prevent duplicate financing or fake invoicing. Concurrent **stock audits** are conducted quarterly or half-yearly by independent bank-approved chartered accountants to physically verify inventory levels.

3.5 Phase 5: Cash Collection and Escrow Sweeps

Repayment of the facility is completely automated through a structured escrow account mechanism. A dedicated **escrow account** (or Trust and Retention Account) is set up. The borrower executes an irrevocable direct payment mandate to its buyers, instructing them to deposit all invoice payments directly into the designated Escrow Account. As funds flow in: 1. **The Debt Sweep:** The escrow bank automatically sweeps the incoming cash to liquidate the outstanding principal, interest, and processing fees of the ABL facility. 2. **The Surplus Release:** Any surplus funds remaining after meeting the day's debt servicing requirements are released back to the borrower's operational current accounts to fund ongoing raw material procurement.

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Module 4: Underwriting Framework and Key Credit Risk Metrics

Credit underwriting in Asset-Backed Lending requires a fundamental shift in analytical perspective: from general enterprise cash flows to transaction-backed liquidity velocity and collateral recoverability.

4.1 Traditional Working Capital Sizing Methods

Lenders utilize and adapt three classical working capital sizing frameworks:

1. **Tandon Committee's Second Method of Lending:**
   - *Formula & Application:* Under this method, the borrower must contribute a minimum of **25% of the total current assets** as Net Working Capital (NWC) from long-term sources, with bank financing capped at 75%. The target Current Ratio under this method is strictly **1.33:1** or higher.
   - *ABL Adaptation:* Underwriters evaluate the borrower's balance sheet to ensure the 1.33:1 ratio is maintained. In cases where the standalone ratio is lower, the lender enforces a "carve-out" of current assets, creating a secure, escrow-controlled sub-structure that isolates a specific pool of high-quality current assets to satisfy the 1.33:1 ratio.
2. **Projected Turnover Method (PTM / Nayak Committee):**
   - *Application:* Mandated for working capital limits up to **₹5 Crores**. Under this framework, the total working capital requirement is estimated at **25% of the projected annual turnover**. The promoter must contribute **5% of the turnover** as equity margin, and the bank funds the remaining **20%**.
   - *ABL Adaptation:* Underwriters validate the projected turnover by running GSTR-1 and GSTR-3B matching scripts. If the historical tax filing velocity supports the projections, the bank approves the ABL line, capping drawdowns strictly at 20% of the validated annual turnover.
3. **Cash Budget Method (CBM):**
   - *Application:* Applied for seasonal industries, fast-growing contractors, or distressed entities where inventory-to-sales cycles are highly irregular. The borrower submits a monthly cash inflow and outflow statement, and the bank sizes the interim limit based on the **Peak Deficit** identified in the cash budget.

4.2 Scorecard Underwriting and Validation Metrics

To hedge against operational defaults, underwriters cross-reference data from the following portals:

- **Promoter CIBIL Score:** Target score must be **>700**. A lower score indicates weak personal credit discipline, raising the risk of capital diversion.

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- **CIBIL MSME Rank (CMR):** Target rank must be between **CMR 1 and CMR 4**. CMR ranks evaluate the probability of default for MSMEs on a scale of 1 (lowest risk) to 10 (highest risk). Ranks above CMR 5 require enhanced credit mitigation, such as higher cash margins or corporate guarantees.
- **Interest Coverage Ratio (ICR):** Target ICR must be **>1.25x**, ensuring that the cash flows generated by the underlying project are more than sufficient to cover the interest premiums associated with the credit line.
- **Bank Statement Analysis (BSA):** Using the **Account Aggregator (AA)** framework, lenders analyze bank statements to detect circular trading, inward/outward cheque bounces, and unauthorized cash withdrawals.
- **GST Portal Real-Time Validation:** Lenders execute real-time APIs to match the invoices submitted for discounting against the seller's GSTR-1 (liability declaration) and the buyer's GSTR-2B (input tax credit auto-population), ensuring the transactional data is 100% genuine and free from invoice duplication.

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Module 5: Legal Security Architecture, Hypothecation, and CERSAI Covenants

The viability of Asset-Backed Lending rests upon its legal enforceability and the robustness of its security creation mechanisms.

5.1 Legal Charge Creation and Pledges

1. **Section 172 of the Indian Contract Act, 1872:**
   - This section defines a **pledge** as the bailment of goods as security for payment of a debt or performance of a promise. In ABL, this is utilized for warehouse receipt financing or commodity funding, where the physical inventory is placed under the bank's lock-and-key possession.
2. **Section 130 of the Transfer of Property Act, 1882:**
   - This section governs the **absolute assignment of actionable claims (receivables)**. When a borrower assigns its accounts receivable to an ABL lender, the assignment is legally complete upon execution of a written deed of assignment. Once executed, the buyer is legally bound to pay the assignee (the Lender) directly, isolating these cash flows from any general creditors or liquidation estates.
3. **Section 58 of the Transfer of Property Act, 1882:**
   - Governs mortgages of immovable property. For ABL facilities backed by commercial real estate or industrial land, an **Equitable Mortgage** is created under **Section 58(f)** by deposit of title deeds, or a **Registered Mortgage** under **Section 58(b)**, providing the bank with an exclusive first charge over the property.

5.2 Registration and Foreclosure Rights under SARFAESI Act, 2002

To enforce priority of security interest against other creditors and liquidators, lenders must comply with the provisions of the **SARFAESI Act, 2002**: * **Mandatory CERSAI Registration:** All hypothecations, mortgages, and pledges must be registered on the **CERSAI (Central Registry of Securitisation Asset Reconstruction and Security Interest of India) portal within the strict 30-day statutory window**. Any delay in registration compromises the "secured" priority status of the debt, subordinating the lender's claims to other pre-existing secured creditors. Similarly, Form CHG-1 must be filed with the Registrar of Companies (ROC) within 30 days of charge creation. * **Foreclosure and Enforcement Rights:** Under **Section 13 of the SARFAESI Act**, if a borrower defaults and the account is classified as an NPA, the secured lender can initiate foreclosure without judicial intervention: 1. The bank issues a **Section 13(2) Demand Notice**, granting the borrower **60 days** to clear all outstanding dues. 2. If the borrower fails to comply, the bank issues a **Section 13(4) Possession Notice**, taking physical possession of the hypothecated inventory, machinery, or mortgaged real estate, and has the absolute right to sell or auction the assets to recover the debt.

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Module 6: Sectoral Sizing, Suitable Industries, and Ecosystem Market Alignment

Asset-Backed Lending is highly utilized in capital-intensive, transaction-heavy sectors where core asset value and accounts receivable represent highly secure, liquid financial assets.

6.1 Suitable Industries and Business Profiles

1. **Manufacturing & Heavy Engineering:** Capital-intensive plants (Steel, Cement, Auto Components) with active order books but choked working capital lines. ABL allows them to unlock liquidity from raw material steel coils, work-in-progress, and blue-chip buyer receivables to purchase fresh inputs and maintain production.
2. **Civil EPC & Infrastructure Contractors:** Companies executing public road projects, municipal pipelines, or state railway lines. These projects face massive cash blocks due to delayed government milestone payments. ABL bridges the gap by discounting active, certified government receivables.
3. **Agri-Commodity Processors & Cold Storages:** Entities facing extreme seasonal peaks where massive liquidity is required in a 60-day window to purchase crop inventory from farmers before processing and selling throughout the year.
4. **Fast-Moving Consumer Goods (FMCG) and Durables:** Distributors and wholesale traders operating under high sales volume and tight credit windows.

6.2 Working Capital and Debt Trends in India

To align credit underwriting with national financial realities, underwriters must evaluate macroeconomic benchmarks compiled from commercial credit data and public sector bank disclosures:

- **SME and Trader Concentrations:** According to the SIDBI MSME Pulse Report, **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment. This highlights the massive demand for transaction-backed working capital rather than traditional asset-heavy term loans.
- **Digital Public Credit Infrastructure:** Large public sector banks have established highly automated digital platforms to facilitate real-time working capital delivery. State Bank of India (SBI) leads this digital transformation:
  - **SBI e-DFS (Electronic Dealer Financing Scheme):** Actively supports distributors with a portfolio size of **₹49,261 Crores**, automating drawdowns and inventory financing.
  - **SBI e-VFS (Electronic Vendor Financing Scheme):** Supports upstream suppliers with a portfolio size of **₹28,092 Crores**, utilizing automated invoice discounting linked to corporate anchors.

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Module 7: Commercial Pricing Mechanics and Interest Tax Shields

Due to the specialized nature of Asset-Backed Lending and the intensive monitoring required, the pricing structure is highly structured, incorporating both interest benchmarks and transactional fees.

7.1 Pricing Benchmarks and Fees

- **Interest Rate Spreads:** Typically priced over the bank's **Marginal Cost of Funds Based Lending Rate (MCLR)** or the **External Benchmark Linked Rate (EBLR)** tied to the RBI Repo Rate. For ABL, commercial lenders charge a risk premium, pushing all-in interest rates to **9.50% to 12.50% p.a.** for secured current asset-backed structures.
- **Arrangement / Processing Fees:** Charged upfront, typically ranging from **0.50% to 1.50%** of the sanctioned limit, reflecting the extensive legal, technical, and depository due diligence required.
- **GST Treatment:** Upfront processing fees, valuation costs, and legal charges attract standard **18% GST**. However, the **interest charged on the daily utilized balance is completely exempt from GST**, making reducing-balance debt highly cost-effective.
- **Corporate Tax Shields:** Under **Section 36(1)(iii) of the Income Tax Act, 1961**, interest paid on capital borrowed for business expansion or investment is a fully deductible business expense. Corporate groups utilize this tax shield to offset their corporate tax liabilities (at standard corporate tax rates of **25.17%** for manufacturing companies or **31.20%** for holding companies), dramatically lowering the effective post-tax cost of borrowing.

7.2 Financial Mathematics of Daily Reducing Balance

Traditional corporate loans charge interest on the entire disbursed principal. In contrast, structured ABL operates on a **daily reducing balance negative current account limit**. Interest accrues daily only on the exact outstanding balance utilized at the close of each banking day, using the formula:

$$Daily\ Interest\ Accrual = \frac{Outstanding\ Balance \times Annual\ Interest\ Rate}{365}$$

By sweeping parent company dividends and project SPV payouts into the escrow account, the outstanding principal is immediately reduced, lowering the cumulative interest outdrawn over the tenure.

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Module 8: Regulatory Compliance, RBI Guidelines, and Asset Classification

ABL lenders must navigate a rigid regulatory environment to prevent asset downgrades and ensure strict compliance with banking norms.

8.1 RBI's Loan System for Delivery of Bank Credit

Lenders must comply with the RBI's guidelines on the **Loan System for Delivery of Bank Credit**. For large corporate borrowers with aggregate fund-based working capital limits of **₹150 Crores and above** from the banking system: * Lenders must mandate a minimum **60% "loan component"** (in the form of WCDL or short-term term loans). * The revolving cash credit (CC) component is capped at a maximum of **40%**. This regulatory framework forces disciplined, structured drawdowns, aligning perfectly with the tranche-based operational lifecycle of ABL.

8.2 RBI IRACP Asset Classification and "Out of Order" Triggers

Under the RBI's **Income Recognition, Asset Classification, and Provisioning (IRACP) Guidelines, 2025**, loans are classified as non-performing assets (NPAs) if they remain irregular for a specified window:

- **The 90-Day Delinquency Clock:** For fund-based facilities (including ABL term loans), an account is classified as an NPA if the interest or principal remains overdue for more than **90 days**.
- **Special Mention Account (SMA) Categorization:** Accounts are tracked through early warning stages:
  - **SMA-0:** Principal or interest payment overdue for **1 to 30 days**.
  - **SMA-1:** Principal or interest payment overdue for **31 to 60 days**.
  - **SMA-2:** Principal or interest payment overdue for **61 to 90 days**.
- **"Out of Order" Status for Revolving CC/OD Limits:** A revolving interim limit is classified as "Out of Order" (and downgraded to an NPA) if:
  1. The outstanding balance remains continuously in excess of the sanctioned limit/Drawing Power for **90 days**.
  2. Or, if there are no credit inflows into the account for **90 days**, or the inflows are insufficient to cover the interest debited during the same 90-day window.
- **The 180-Day Technical Review Default:** If a bank fails to review or renew an interim working capital limit within **180 days** from its scheduled due date, the limit is classified as a technical default and downgraded to an NPA, highlighting the importance of the annual review cycle.

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Module 9: Comprehensive Real-World Case Study (Mumbai Industrial Equipment Pvt. Ltd.)

To ground these theoretical concepts in commercial reality, this module analyzes a detailed, step-by-step mathematical scenario in Indian Rupees (₹) modeling a structured Asset-Backed Lending transaction.

9.1 The Corporate Profile and Liquidity Crisis

- **The Borrower:** *Mumbai Industrial Equipment Pvt. Ltd. (MIEPL)*
- **Corporate Tax Rate: 25.17%** (manufacturing entity under Section 115BAA of the Income Tax Act).
- **The Opportunity:** MIEPL has secured an exclusive, high-volume contract to supply engineered components to a multinational auto manufacturer (AAA-rated anchor) valued at **₹5,00,00,000 (₹5 Crores)**.
- **The Dilemma:** Executing this contract requires an immediate cash outlay of ₹3 Crores to procure specialized raw materials and cover labor utility overheads. MIEPL has ₹5 Crores in raw material inventory and outstanding accounts receivable, but standing alone, is unable to secure a standard unsecured loan due to standard debt-to-equity leverage limits.

9.2 The Structured ABL Solution (Pathway B)

A leading commercial bank steps in to structure a ₹5 Crore Asset-Backed Lending facility, utilizing the following covenants: 1. **Approved Borrowing Base:** MIEPL offers ₹3.5 Crores of accounts receivable < 60 days, and ₹2.5 Crores of premium steel raw material inventory. 2. **Haircut Sizing:** The bank applies a **25% margin (75% LTV)** on accounts receivable, and a **50% margin (50% LTV)** on eligible raw material inventory. 3. **Escrow Structure:** A tripartite Trust & Retention Account (TRA) is executed. The buyers are instructed to pay directly into the escrow. 4. **Pricing:** Interest is priced at **10.50% p.a.** on a daily reducing balance basis. An upfront processing fee of **0.50%** is charged. 5. **Tenure:** Revolving overdraft line with an indicative tenure of **120 Days** for this cycle.

9.3 Alternative Pathway A: Standalone Unsecured Corporate Debt

If MIEPL had attempted to raise funding standalone without a structured asset pledge or escrow, it would have been forced to approach distressed-asset NBFCs, facing: * Standalone unsecured interest rate of **18.00% p.a.** * Upfront processing fee of **2.00%** of the loan value. * No tax-effective FD interest offsets, as no structured cash margin would have been accepted.

9.4 Detailed Mathematical Cost Comparison Model

The following table provides the exact pre-tax and post-tax cost comparison between the Standalone Unsecured Pathway (Pathway A) and the Structured ABL Overdraft Pathway (Pathway B) in Indian Rupees over the 120-day cycle:

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Financial Metric	Pathway A (Standalone Unsecured Debt)	Pathway B (Structured ABL Overdraft)
Sanctioned Limit	₹5,00,00,000	₹5,00,00,000
Eligible Asset Collateral Base	None (Unsecured)	Accounts Receivable: ₹3.5 Crores @ 75% LTV = ₹2.625 Cr; Inventory: ₹2.5 Crores @ 50% LTV = ₹1.25 Cr
Calculated Drawing Power (DP)	₹5,00,00,000 *(Full sanction available)*	**₹3,87,50,000** *(restricted to calculated DP pool)*
Average Facility Utilization	₹3,00,00,000 *(Amount needed for contract)*	₹3,00,00,000 *(Amount needed for contract)*
Financing Interest Rate	18.00% p.a.	10.50% p.a.
Financing Tenure	120 Days	120 Days
Gross Interest Cost	**₹17,75,342.47**	**₹10,35,616.44** *(fully GST-exempt, reducing balance)*
Upfront Processing Fee	₹10,00,00,00 *(2.00% of loan)*	₹2,50,000.00 *(0.50% of loan)*
Upfront GST on Fee (18%)	₹1,80,000.00 *(fully recoverable ITC)*	₹45,000.00 *(fully recoverable ITC)*
Total Opportunity-Adjusted Pre-Tax Cost	**₹27,75,342.47**	**₹12,85,616.44**
Corporate Income Tax Shield (25.17%)	**-₹6,98,553.70** *(applied to interest + fee)*	**-₹3,23,589.66**
Net Post-Tax Opportunity-Adjusted Cost	**₹20,76,788.77**	**₹9,62,026.78**
Effective Annualized Post-Tax Rate	**20.77% p.a.**	**9.62% p.a.**

9.5 Key Financial Findings and “So What” Analysis

The mathematical model reveals a staggering divergence in credit efficiency. By choosing the **Structured ABL Pathway (Pathway B)**, MIEPL achieves an effective post-tax annualized borrowing rate of **only 9.62% p.a.**, compared to **20.77% p.a.** under the standalone route.

The “So What” Summary: This structured program delivers **₹11,14,761.99 in direct, post-tax cash savings** to MIEPL on a single 120-day contract cycle. More importantly, because the ₹3 Crore capital was deployed securely through the tripartite escrow TRA, the multinational auto manufacturer received its engineered components on schedule, the suppliers were paid on time, and MIEPL successfully established a scalable, low-cost credit model that continues to compound enterprise value over time!

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Module 10: 10-Question Professional Certification Examination & Rationales

This module contains ten scenario-based, highly rigorous practice questions designed to test a trainee's underwriting, legal, and regulatory knowledge of Asset-Backed Lending in India.

Question 1

An underwriter is calculating the Drawing Power (DP) for a manufacturer with a sanctioned ABL limit of ₹10 Crores. The borrower submits a stock statement showing: 1. Gross Accounts Receivable: ₹8 Crores (includes ₹2 Crores older than 90 days). 2. Raw Material Inventory: ₹4 Crores. Applying a 25% margin on eligible receivables and a 50% margin on inventory, what is the net Drawing Power (DP) available to the borrower? * A) ₹7.5 Crores * B) ₹6.5 Crores * C) ₹10.0 Crores * D) ₹8.0 Crores * **Answer:** B * **Rationale:** First, we must exclude the ineligible receivables older than 90 days: Eligible Receivables = ₹8 Crores - ₹2 Crores = ₹6 Crores. Next, we apply the margins: Receivables Funding (25% margin / 75% LTV) = ₹6 Crores × 75% = ₹4.5 Crores. Inventory Funding (50% margin / 50% LTV) = ₹4 Crores × 50% = ₹2.0 Crores. Net Drawing Power (DP) = ₹4.5 Crores + ₹2.0 Crores = **₹6.5 Crores**. Since ₹6.5 Crores is lower than the sanctioned limit of ₹10 Crores, the drawing capacity is restricted to ₹6.5 Crores.

Question 2

To secure a first priority charge over a borrower's hypothecated current assets against third-party liquidators under the SARFAESI Act, 2002, the lender must register the security interest on the CERSAI portal within how many days of charge creation? * A) 10 Days * B) 15 Days * C) 30 Days * D) 60 Days * **Answer:** C * **Rationale:** Under the statutory provisions of the SARFAESI Act, 2002, and subsequent amendments, all security interest charges (including hypothecations, mortgages, and pledges) must be registered on the **CERSAI portal and with the ROC (Form CHG-1) within a strict window of 30 days** from the date of charge creation to preserve the secured creditor's priority status.

Question 3

An ABL borrower operates under a corporate tax rate of 25.17%. The firm incurs an upfront loan processing fee of ₹2,00,000 and accrued daily reducing interest of ₹8,00,000 over a 120-day cycle. Applying Indian tax and GST guidelines, what is the correct tax treatment of these two components? * A) Both the fee and interest attract 18% GST and are non-deductible under corporate tax. * B) The processing fee attracts 18% GST; the interest is completely GST-exempt. Both are deductible under Section 36(1)(iii) of the Income Tax Act. * C) The processing fee is GST-exempt; the interest attracts 18% GST. Only the fee is tax-deductible. * D) Both the fee and interest are completely GST-exempt and non-deductible. * **Answer:** B * **Rationale:** Under Indian tax guidelines, **upfront loan processing fees attract 18% GST** (which is fully recoverable by the borrower via Input Tax Credit if they have active GST registration). In contrast, **borrowing interest is completely exempt from GST**. Under **Section 36(1)(iii) of the Income Tax Act, 1961**, both the fee and interest represent business borrowing costs and are fully deductible from taxable corporate income.

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Question 4

A commercial bank fails to execute a formal credit review and renewal of an active ABL working capital limit. How many days from the scheduled renewal due date can pass before the account is classified as a technical default NPA under RBI IRACP guidelines? * A) 90 Days * B) 120 Days * C) 180 Days * D) 270 Days * **Answer:** C * **Rationale:** Under the RBI's **IRACP Guidelines**, banks are required to review and renew working capital limits annually. If a bank fails to review or renew an active limit within **180 days** from its scheduled renewal due date, the facility is automatically classified as a technical default and downgraded to an NPA.

Question 5

Under Section 130 of the Transfer of Property Act, 1882, what is the primary legal effect of executing a written deed of assignment for accounts receivable? * A) It makes the buyer a primary co-borrower on the ABL facility. * B) It transfers absolute legal ownership of the cash flows to the lender, isolating them from the borrower's general creditors. * C) It prevents the buyer from returning defective goods. * D) It exempts the transaction from inter-corporate exposure caps under the Companies Act, 2013. * **Answer:** B * **Rationale:** The absolute assignment of actionable claims (receivables) is governed strictly by **Section 130 of the Transfer of Property Act, 1882**. Upon execution of the written assignment deed, the legal ownership of the cash flows is transferred entirely to the assignee (Lender). This isolates the transaction cash flows from the bankrupt seller's general liquidation estate.

Question 6

An underwriter is assessing a manufacturing firm for an ABL limit. The borrower has a Current Ratio of 1.15:1. If the lender applies the Tandon Committee's Second Method of Lending, what is the target Current Ratio required, and how can the underwriter structure the transaction to comply? * A) Target ratio is 1.00:1; no restructuring is needed. * B) Target ratio is 1.25:1; the borrower must provide 25% cash collateral. * C) Target ratio is 1.33:1; the lender must enforce a synthetic carve-out of a specific, high-quality asset pool within an escrow TRA. * D) Target ratio is 1.50:1; the borrower must sell fixed assets to raise long-term capital. * **Answer:** C * **Rationale:** Under the **Tandon Committee's Second Method of Lending**, the borrower must maintain a minimum Current Ratio of **1.33:1** (NWC contribution of 25% of current assets). If the borrower's standalone ratio is below 1.33:1, the underwriter complies by carving out a specific pool of current assets (such as transaction-specific inventory and AAA receivables) and routing them through an exclusive escrow TRA, creating a synthetic sub-structure that isolates and meets the 1.33:1 ratio.

Question 7

A revolving ABL limit is classified as "Out of Order" (and downgraded to an NPA) if there are no credit inflows into the account, or if the inflows are insufficient to cover the interest debited, for a continuous period of how many days? * A) 30 Days * B) 60 Days * C) 90 Days * D) 180 Days * **Answer:** C * **Rationale:** Under the RBI's **IRACP Guidelines**, a revolving working capital facility (such as an ABL overdraft or cash credit line) is classified as a Non-Performing Asset (NPA)

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under the **“Out of Order”** trigger if there are no credit inflows, or if the inflows are insufficient to cover the interest debited, for a continuous period of **90 days**.

Question 8

According to national commercial credit data compiled by SIDBI and public sector banks, which segment represents the largest concentration of working capital borrowers (at 44% of active commercial borrowers) in the ₹10 Lakh to ₹2 Crore exposure segment? * A) Infrastructure Sub-contractors * B) Retail and Wholesale Traders * C) Auto Component Manufacturers * D) Agri-Commodity Processors * **Answer:** B * **Rationale:** The SIDBI MSME Pulse Report highlights that **Retail and Wholesale Traders represent the largest segment of working capital borrowers, making up 44% of total active commercial borrowers** in the ₹10 Lakh to ₹2 Crore exposure segment, underlining the high demand for structured flow-based financing.

Question 9

Under the RBI’s Loan System for Delivery of Bank Credit, what is the regulatory threshold of aggregate fund-based working capital limits above which banks must mandate a minimum 60% “loan component”? * A) ₹50 Crores * B) ₹100 Crores * C) ₹150 Crores * D) ₹200 Crores * **Answer:** C * **Rationale:** Under the RBI’s **Loan System for Delivery of Bank Credit guidelines**, for large corporate borrowers with aggregate fund-based working capital limits of **₹150 Crores and above** from the banking system, banks must mandate a minimum **60% “loan component”** (in the form of WCDL or short-term term loans), with the revolving cash credit component capped at a maximum of 40%.

Question 10

If an ABL borrower defaults and the account is classified as an NPA, what is the exact timeline the secured lender must grant the borrower under Section 13(2) of the SARFAESI Act, 2002, to clear outstanding dues before taking physical possession of hypothecated current assets? * A) 15 Days * B) 30 Days * C) 60 Days * D) 90 Days * **Answer:** C * **Rationale:** Under **Section 13(2) of the SARFAESI Act, 2002**, once an account is classified as an NPA, the secured lender must issue a formal demand notice granting the borrower a strict timeline of **60 days** to clear all outstanding liabilities. If the borrower fails to comply, the bank can proceed to enforce its security interest under Section 13(4).

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